Chapter One

Current State of the Economy: The Trough

Worst First Three Years of Any Government

The present NDA government began its second term in May 2019. India's GDP grew by only 4 per cent in 2019–20. The second year, 2020–21, proved the worst ever thanks to the COVID-19 pandemic and the policy decision of imposing total lockdown, with the economy witnessing its largest-ever contraction of 7.3 per cent. The year 2021–22 was expected to be one of recovery. However, the onset of the second wave in the first quarter and its consequential impact prevented the economy from recovering fully until the end of the first half of 2021–22. India's real GDP in the first half of FY 2021–22 was still lesser than the GDP of the first half of 2019–20. As per the first advance estimates released on 7th January 2022, the economy is expected to clock growth of only 9.2 per cent in 2021–22 which would make India's GDP for 2021–22 Rs. 147.54 lakh crore.

In real terms, the Indian GDP, which was Rs 140.03 lakh crore (at 2011–12 prices) in financial year 2018–19, the year before the government's second term began, turned out to be only Rs 135.13 lakh crore in 2020–21—a loss of about Rs 5 lakh crore of income in constant prices after two years. With the Indian economy likely to be at about Rs 147 lakh crore in 2021–22 in real prices, the first three years of this term of the government will add only about Rs 7 lakh crore in GDP growth. The three-year period (2018–19 to 2021–22) appears more like a growth holiday, with an average of only 1.5 per cent per annum.